INC. - Stock Analysis

Ticker	NASDAQ: LYFT
Industry	North American mobility sector / Rideshare
Market Cap	~$5.4B
FWD Shareholder Yield	Planned 1 bln buyback program for 2026, although dillution will be ~320 mil. USD
PE (TTM)	12.55x
PE (FWD	9.03x
EV / Sales	0.66x
Investment Strategy	Operational Turnaround / Value
Investment Thesis	Lyft trades at a significant discount to its intrinsic value and peer multiples. Under new leadership, it has achieved consistent profitability, generated positive free cash flow, and maintains a defensible #2 market position with roughly 30% market share in North America.
Catalysts	Continued margin expansion, successful autonomous vehicle (AV) partnerships (e.g., Waymo), European expansion via FREENOW, and valuation multiple expansion.
Current Market Price	~$13.47 USD
Target Price	~$21 USD
Upside Potential	~60%
Recommendation	BUY

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Executive Summary

Lyft, Inc. (NASDAQ: LYFT) represents a compelling investment opportunity in the North American mobility sector, trading at a significant discount to intrinsic value and peer

multiples. Following a transformative leadership change in 2023, the company has achieved consistent profitability, generated positive free cash flow for three consecutive quarters, and demonstrated operational excellence that positions it well for sustainable long-term growth.

Investment Thesis

We maintain our **BUY rating with a $21.00 price target, representing 60% upside from current levels of $13.5**. Our investment thesis is built on four key pillars:

- **Operational Turnaround**: Under CEO David Risher's leadership, **Lyft has achieved its first full year of net profitability in FY2024** ($22.8M) and delivered $2.84B net income in FY2025 (including a $2.9B valuation allowance release), **demonstrating the company's ability to scale efficiently while maintaining growth**. Adjusted net income excluding one-time items was approximately $285 million.
- **Strong Market Position**: With approximately **30% market share in North American rideshare and 29.2 million active riders as of Q4 2025, Lyft maintains a defensible position as the clear #2 player with significant barriers to entry for new competitors.**
- **Attractive Valuation:** Trading at **0.66x EV/Sales (forward)** and 9.0x forward P/E (non-GAAP), Lyft trades at a significant **discount to peers** (**Uber at 3.7x EV/Sales**, 22.5x P/E) despite **similar growth trajectories and improving profitability metrics**. The GAAP P/E of 21.3x reflects significant stock-based compensation, a non-cash expense that distorts the true earnings power of the business.
- **Autonomous Vehicle Partnerships**: **Strategic partnerships** with Waymo (Nashville deployment 2026), May Mobility (Atlanta), Mobileye (Dallas), and Baidu (Europe) **position Lyft to benefit from the AV transition without bearing the capital intensity of developing autonomous technology in-house (like Uber).**

Key Financial Highlights

Lyft's financial performance has improved dramatically over the past two years:

Metric	FY2023	FY2024	FY2025	YoY Change
Gross Bookings	$13.8B	$16.1B	$18.5B	+15.0%
Revenue	$4.40B	$5.79B	$6.32B	+9.2%
Adjusted EBITDA	-$189M	$203M	$103M	-49%
Net Income (GAAP)	-$340M	$23M	$2,844M	NM
Free Cash Flow	-$248M	$766M	$1,116M	+45.7%
Active Riders	22.4M	24.2M	29.2M	+18.2%

Note: FY2025 net income includes a $2.9 billion benefit from the release of the valuation allowance on deferred tax assets. Adjusted net income excluding one-time items was approximately $285 million.



Post-Earnings Selloff

The 16% post-earnings selloff presents a mispricing. The market is penalizing near-term operational friction and a headline top-line miss while disregarding the underlying structural pivot toward long-term yield in the short term. Q4 revenue of $1.59 billion missed estimates due to a $168 million charge for legal, tax, and regulatory reserves. It is important to note the accounting mechanics here: while traditional corporate tax or legal settlements hit below the line as operating expenses, specific gig-economy pass-through mobility taxes and regulatory fee reserves act as contra-revenue. This $168 million true-up was subtracted directly from Gross Bookings, creating an artificial top-line compression rather than a deterioration in core platform volume. Adjusted for this kitchen-sink charge, normalized revenue hit a $1.8 billion run-rate, proving the core pricing engine remains entirely intact.

Facing a spike in Q4 competitive promotions, Lyft intentionally ceded low-tier market share rather than engaging in a margin-destroying price war. Walking away from dilutive rides successfully protected their 3.0% Adjusted EBITDA margin, signaling a strict, disciplined shift from vanity growth to durable yield. (For 2027 management targets $1 billion in Adjusted EBITDA on $25 billion in Gross Bookings, an implied 4.0% margin.)

The $188.4 million full-year GAAP operating loss is driven by front-loaded growth initiatives flowing directly through the income statement, not structural decay. This includes $29.4

million in frictional Freenow integration costs, which alone drove roughly 45% of the year-over-year increase in General & Administrative overhead. Simultaneously, Sales & Marketing expenses grew 10.9% year-over-year to $875.1 million. This deliberately outpaced 9% overall revenue growth to aggressively fund rider and driver incentives for new, high-LTV products like Lyft Teen and premium Black/XXL modes. This aggressive Customer Acquisition Cost (CAC) is already working: Q4 Active Riders accelerated 18% YoY to 29.2 million and Gross Bookings grew 19%.

Company Overview

Lyft, Inc. operates one of the largest multimodal transportation networks in North America, connecting drivers with riders through its mobile application. Founded in 2007 as Zimride by Logan Green and John Zimmer, the company rebranded to Lyft in 2013 and has since grown to become the second-largest ridesharing platform in the United States and Canada.

Business Model

Lyft operates as a two-sided marketplace, **connecting drivers** (supply) **with riders** (demand) through its proprietary technology platform. The **company generates revenue** primarily **through**:

- **Service Fees**: Lyft takes a commission (typically **20-30% of the fare**) on each ride facilitated through its platform, with the remainder paid to drivers. In certain markets where Lyft controls the transportation service, revenue is recognized on a gross basis.
- **Booking Fees**: Additional per-ride fees charged to riders that contribute directly to Lyft's revenue. These fees vary by market and ride type.
- **Platform Fees**: Fees **from Lyft Business (corporate travel)**, **subscription services (Lyft Pink), and other** enterprise offerings.
- **Other Revenue**: Includes **bike** and **scooter rentals** (through Flexdrive and municipal partnerships), **advertising**, and data **licensing agreements**.

The company's asset-light business model requires minimal capital expenditure, with drivers providing their own vehicles and Lyft focusing on technology development, marketplace optimization, and customer acquisition. Approximately **85% of revenue** is generated from the **ridesharing marketplace**.

Service Offerings

Lyft has expanded beyond its core rideshare offering to create a comprehensive mobility platform:

Rideshare Services

- Lyft Standard: The core ride-hailing service offering economy, regular, and premium vehicle options.

- Lyft XL: Larger vehicles for groups of up to six passengers.
- Lyft Lux: Premium vehicles with top-rated drivers.
- Lyft Black: Luxury black car service (recently expanded).
- **Shared Rides:** Cost-effective option where riders share trips with others going in the same direction (offered in limited markets). (First introduced and most prevalent practice for instance in China where most of the ride hailing platforms have this option but due to popularity is spreading to Europe and North America.)

Additional Services

- **Lyft Bikes & Scooters**: Bike and electric scooter sharing available in select cities through owned fleets and municipal partnerships.
- **Lyft Rentals**: Car rental partnerships through Sixt and other providers.
- **Lyft Business**: Corporate travel management platform for enterprise customers, with 200,000+ companies enrolled.
- **Lyft Teen**: Recently launched service allowing parents to arrange rides for teenagers aged 13-17, addressing the 15 billion personal vehicle rides for this age group annually in the U.S.

Industry Analysis

Rideshare Industry History (2009-2026)

The rideshare industry has undergone a remarkable transformation over the past seventeen years, fundamentally disrupting the traditional taxi and transportation landscape. Understanding this history is essential to evaluating Lyft's current position and future prospects.

The Founding Era (2009-2013)

Uber launched its black car service in San Francisco **in 2009**, p**ioneering the concept of summoning private vehicles through a smartphone app**. Founded by Travis Kalanick and Garrett Camp, **Uber** initially **targeted** the **luxury market** with professional drivers and premium vehicles. The company's early success demonstrated the viability of app-based transportation and attracted significant venture capital interest.

Lyft entered the market in 2012 as Zimride, founded by Logan Green and John Zimmer. **Initially focused on long-distance carpooling for college students, the company pivoted to urban rideshare in 2013 with the introduction of the distinctive pink mustache branding.** This pivot was critical, **while Uber focused on professional drivers and premium service, Lyft positioned itself as the friendly, community-oriented alternative.**

The early years were characterized by rapid experimentation, regulatory battles, and the establishment of network effects. Both companies faced significant resistance from taxi

commissions and municipal regulators, who argued that rideshare services operated outside existing transportation regulations. Early legal victories in major cities established the precedent that rideshare platforms were technology companies, not transportation providers, allowing them to avoid the costly medallion systems that constrained traditional taxis.

The Price War Era (2014-2018)

The **mid-2010s saw explosive growth as both Uber and Lyft expanded aggressively across North America and internationally.** This **period was characterized by intense competition, massive fundraising rounds, and significant subsidies to attract both drivers and riders.**

Lyft raised over $4 billion in venture capital during this period, while Uber raised more than $15 billion. Both companies engaged in aggressive price competition, offering deep discounts to riders and generous incentives to drivers. This "**growth at all costs**" **mentality prioritized market share over profitability, with both companies posting massive losses year after year.**

Main developments during this era included:

- **International Expansion**: **Uber expanded to dozens of countries, while Lyft remained focused on North America**.
- Service Diversification: Uber launched Uber Eats in 2014, while Lyft experimented with various service tiers.
- Autonomous Vehicle Investments: Both companies invested heavily in self-driving technology, with Uber acquiring Otto and Lyft partnering with various AV developers.
- Regulatory Battles: High-profile disputes in cities like Austin, London, and various European markets.

The price war era culminated in 2017-2018 with Uber's series of scandals, including the #DeleteUber movement, sexual harassment allegations, and the departure of CEO Travis Kalanick. These events created an opening for Lyft to gain market share and positioned the company as the "ethical alternative" to Uber.

The IPO Period and Market Maturation (2019-2022)

The industry matured as growth rates normalized and investor focus shifted toward profitability. This period saw both companies go public and face the scrutiny of public market investors.

Lyft went public in March 2019 at $72 per share, raising $2.3 billion. The **stock** initially **traded as high as $88.60 (March 29, 2019) before beginning a long decline as investors digested the company's persistent losses and the challenges of achieving profitability**. Uber followed with its IPO in May 2019, also pricing below expectations and facing similar investor skepticism.

The **COVID-19 pandemic in 2020 caused a dramatic decline in ride volumes**, with Lyft's revenue falling 35% year-over-year. Both **companies pivoted to delivery services** (**Uber through Uber Eats, Lyft through partnerships**) and implemented significant cost-cutting measures. The **pandemic accelerated the shift toward profitability as survival became the priority over growth**.

Key developments during this period included:

- Driver Classification Battles: California's AB5 law and the subsequent Proposition 22 ballot initiative, which cost gig companies over $200 million in campaigning and established a framework for driver classification that other states have considered.
- Autonomous Vehicle Setbacks: Uber sold its AV unit to Aurora in 2020, while Lyft maintained partnerships rather than in-house development.
- Profitability Progress: Both companies made significant strides toward profitability through cost reductions and pricing discipline.

The Profitability Focus Era (2023-Present)

The post-pandemic era has been defined by a renewed focus on sustainable unit economics and profitability. Lyft's board appointed David Risher as CEO in April 2023, replacing co-founder Logan Green. Under Risher's leadership, the company has implemented significant cost reductions, streamlined operations, and achieved consistent profitability.

Risher, a former Amazon executive who reported directly to Jeff Bezos, brought a disciplined operational approach to Lyft. His "customer obsession" philosophy focused on improving the core rideshare experience through reduced wait times, lower prices, and improved driver satisfaction. Key achievements under Risher include:

- First full year of GAAP profitability in FY2024 ($22.8M net income).
- Record free cash flow generation exceeding $1.1 billion in FY2025.
- Driver cancellation rates reduced from 14.4% in Q2 2023 to 5.6% in Q4 2024.
- Launch of Lyft Teen, Black car expansion, and other product innovations.
- Strategic AV partnerships with Waymo, May Mobility, Mobileye, and Baidu.

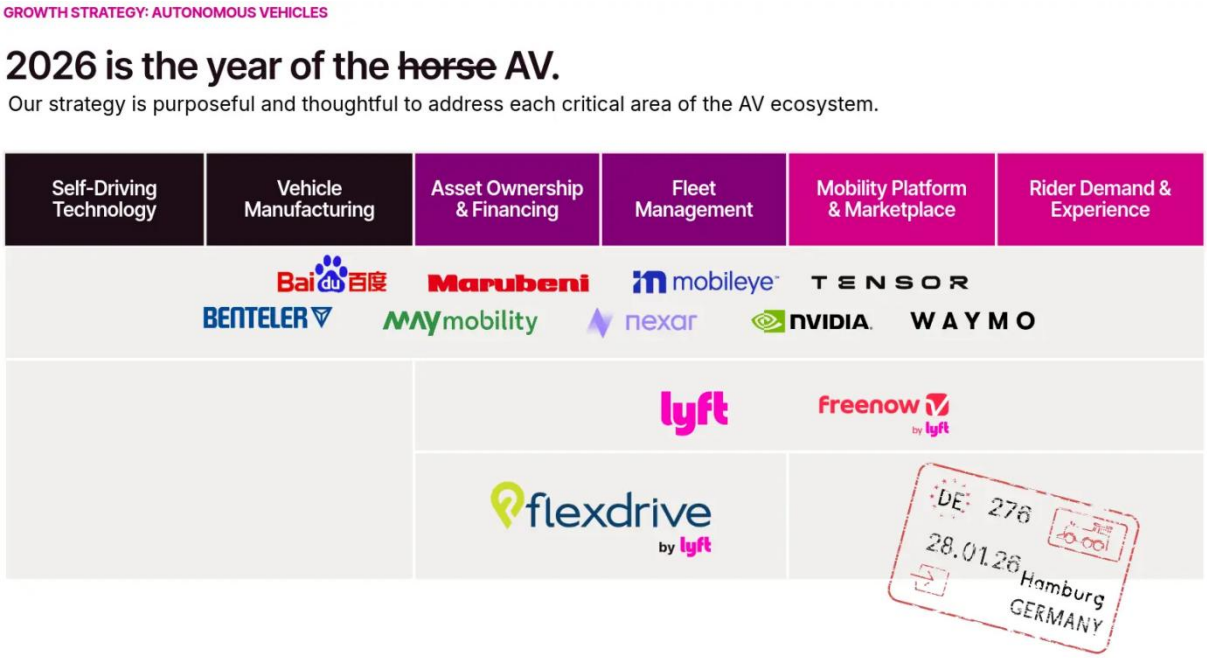
The competitive dynamic has also shifted. With **both Uber and Lyft now focused on profitability rather than market share at any cost, price competition has moderated**. The **industry** has effectively **become a** stable **duopoly**, with **both companies coexisting** and focusing on operational efficiency rather than aggressive subsidies.

Market Size and Growth

The global rideshare market was valued at approximately $185 billion in 2024 and is projected to reach $350-660 billion by 2030-2034, representing a compound annual growth rate (CAGR) of 11-18%. The North American market, where Lyft primarily operates, accounts for roughly 35-44% of global rideshare revenue.

Key growth drivers include:

- **Urbanization**: Continued migration to urban areas increases demand for convenient transportation alternatives. **Rideshare still accounts for only ~2% of the 161 billion annual U.S. car rides, representing significant runway for growth**.
- **Declining Car Ownership: Younger generations increasingly prefer access over ownership, favoring rideshare over personal vehicles.**
- **Technology Adoption: Smartphone penetration and digital payment infrastructure continue to expand.**
- Corporate Travel Recovery: Post-pandemic return to offices and business travel benefits rideshare demand.
- **Autonomous Vehicles: AV deployment is expected to expand the total addressable market by reducing costs and improving availability.**



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Competitive Landscape

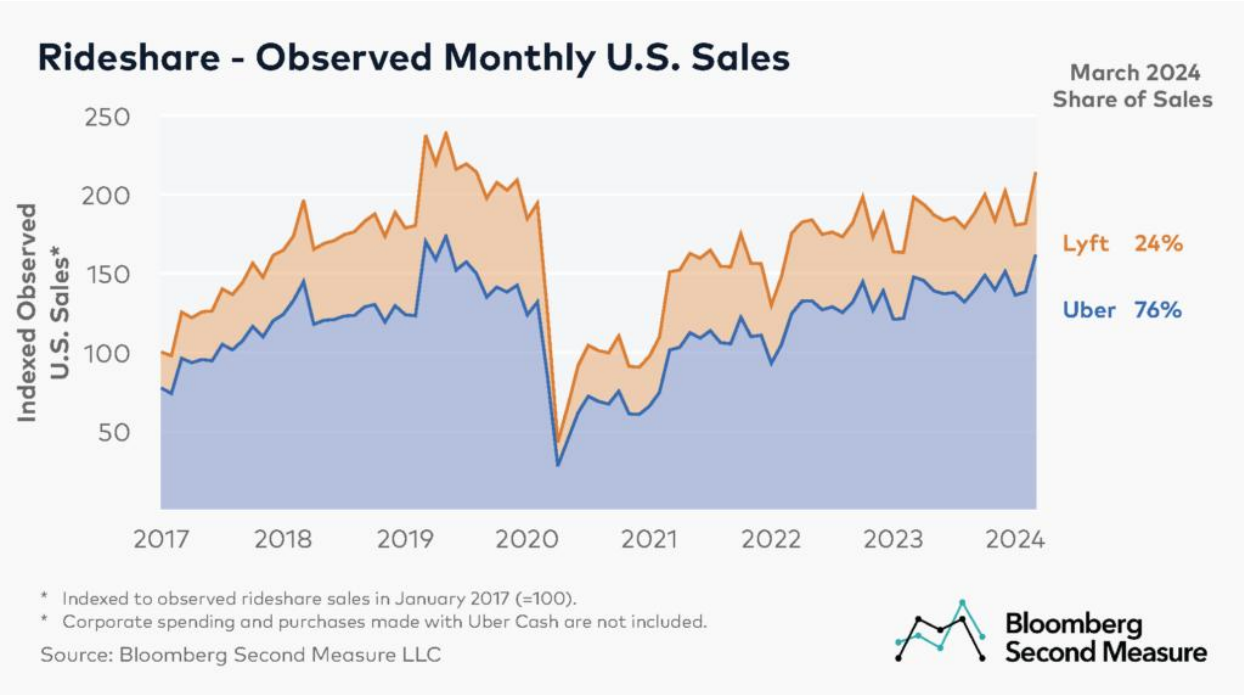
The North American rideshare market is effectively a duopoly, with Uber and Lyft controlling approximately 95% of the market. Understanding the competitive dynamics between these two players is critical to evaluating Lyft's investment prospects.

Lyft vs. Uber

Uber is Lyft's primary competitor and the dominant player in the global rideshare market. The following table compares key metrics:

Metric	Lyft	Uber	Comment
Market Cap	$5.4B	$154B	Uber trades at 28x Lyft's valuation
Revenue (TTM)	$6.3B	$52B	Uber is 7x larger
US Market Share (Spending)	24%	76%	Lyft is clear #2
EV/Sales (FWD)	0.66x	2.95x	Lyft trades at a discount
P/E Non-GAAP (FWD)	9.0x	22.5x	Lyft 60% cheaper on earnings
P/E GAAP (FWD)	21.3x	24.0x	GAAP P/Es more comparable
Geographic Focus	US/Canada/Europe*	Global	Lyft more concentrated
Active Riders	29.2M	150M+	Uber 5x larger rider base
Trips per Day	2.3M	31M	Uber 13x more trips

*Lyft acquired FREENOW in 2025, expanding to 9 European markets.



Source: Uber vs. Lyft market sgare in the USA (2024, Apr 15)

Competitive Advantages

Despite Uber's scale advantage, Lyft maintains several competitive strengths:

- **Brand Differentiation**: Lyft has cultivated a **more community-focused, friendly brand image compared to Uber's more corporate positioning**. This **resonates particularly well with younger demographics** and coastal urban markets. Internal surveys show **Lyft has a 16-20 percentage point advantage in driver preference vs. Uber.**

- Focused Geographic Presence: By concentrating on North America (and now Europe through FREENOW), Lyft can optimize its operations, marketing spend, and driver incentives more effectively than Uber's global operation.
- Partnership Strategy: Lyft's partnerships with autonomous vehicle companies (Waymo, May Mobility, Mobileye, Baidu) provide exposure to next-generation technology without the capital intensity of in-house development.
- **Lower Regulatory Risk**: As a purely North American operator (until FREENOW), Lyft faced less complex regulatory challenges than Uber's global footprint.
- **Faster ETAs: Lyft's average ETAs are approximately 30 seconds faster than Uber's, a meaningful advantage in the on-demand transportation market. (holding the advantage in richer city centers)**

Regional Markets

Market share varies significantly by region, with Lyft performing stronger in certain markets:

West Coast Markets

Lyft's strongest markets are on the West Coast, particularly in California. The company's San Francisco roots and early market entry established strong brand recognition. In California overall, Lyft maintains approximately 30-35% market share, higher than the national average. However, in San Francisco specifically, Waymo's AV deployment has disrupted the market, with Waymo now capturing approximately 27% share, Uber at 50%, and Lyft at 21% (down from 34% in 2023).

East Coast Markets

On the East Coast, Lyft's market share is closer to the national average of 24%. New York City represents a unique market due to strict TLC (Taxi and Limousine Commission) regulations. Both Uber and Lyft operate under specific regulatory frameworks in NYC, with yellow cabs still maintaining meaningful share through the Curb app.

Midwest and Southern Markets

In the Midwest and South, Uber's market share tends to be higher, often exceeding 80%. These markets were later to adopt rideshare and Uber's first-mover advantage was more pronounced. Lyft has been working to build presence in these markets through targeted marketing and driver incentives.

AV-Active Markets

Markets with active AV deployments (San Francisco, Los Angeles, Phoenix, Austin, Atlanta) are experiencing unique dynamics. According to Lyft CEO David Risher, industry growth in AV-active markets is 5x larger than in non-AV markets. However, Lyft has experienced share loss in these markets where Uber has exclusive AV partnerships (Austin with Waymo). The Nashville Waymo partnership announced in September 2025 is Lyft's first major AV market entry.

Moat Analysis

Network Effects

Rideshare platforms benefit from two-sided network effects: more riders attract more drivers, and more drivers attract more riders. However, these network effects are primarily local rather than global. A rider in Chicago doesn't benefit from more drivers in Los Angeles. This means network effects protect market position within specific geographic markets but don't create a global winner-take-all dynamic.

Uber's larger global network does provide advantages in cross-market network effects (e.g., airport rides, business travelers), but Lyft's North American focus is sufficient for the vast majority of use cases.

Switching Costs

Switching costs for riders are minimal - most riders have both Uber and Lyft apps installed and choose based on price and ETA. For drivers, switching costs are also low, with over two-thirds of rideshare drivers driving for both platforms. **This lack of switching costs is a weakness in the moat, though it also means neither platform can exploit lock-in.**

Brand Equity

Lyft has built meaningful brand equity, particularly among younger demographics and in coastal markets. The company's community-focused positioning and corporate culture ("be a good human") differentiate it from Uber's more corporate image. However, brand equity is less important in rideshare than in many consumer categories, as price and convenience typically drive purchase decisions.

Scale Economics

Uber's larger scale provides meaningful cost advantages in technology development, insurance, and corporate overhead. However, Lyft's scale is sufficient to achieve similar unit economics in its core markets. The company has demonstrated this through its path to profitability and strong free cash flow generation.

Moat Assessment

Lyft's moat is narrower than Uber's due to its smaller scale and lack of diversification (no food delivery, no freight). However, the duopoly structure of the North American market provides significant protection. New entrants face enormous challenges in building sufficient driver and rider networks to achieve viability. The capital requirements, regulatory complexity, and established network effects create substantial barriers to entry.

We assess Lyft's moat as "narrow but durable" - the company is well-protected in its core markets but vulnerable to share loss in AV-active markets where it lacks partnerships.

Other Competitors

While Uber and Lyft dominate the market, several other players compete in specific segments or geographies:

Traditional Taxis

Traditional taxi services have modernized through apps like Curb and have seen a modest resurgence in some markets. In NYC, yellow cabs complete approximately 126,000 daily trips compared to 634,000 for Uber/Lyft combined. However, taxis continue to lose market share to rideshare platforms due to inferior user experience, higher costs, and limited availability. We do not view taxis as a meaningful competitive threat.

Autonomous Vehicle Operators

Waymo (Alphabet) currently provides approximately 400,000 paid rides per week across ten American cities and expects to surpass one million weekly rides by the end of 2026. Waymo represents both a threat and an opportunity for Lyft:

- **Threat: Waymo vehicles can directly compete with human-driven rideshare, potentially capturing market share.**
- **Opportunity: Lyft's partnership with Waymo in Nashville (and potential future markets) allows the company to benefit from AV technology without the capital investment.**

Other AV operators include Zoox (Amazon), Tesla Robotaxi, and various Chinese players (Baidu Apollo Go, Pony.ai, WeRide). Most of these are not yet operating at meaningful scale in North America.

Micro-Mobility Providers

Companies like Lime, Bird, and Spin compete in the bike and scooter-sharing market, capturing short-distance trips that might otherwise use rideshare services. **The global bike and scooter rental market is valued at approximately $7.1 billion (2025) and growing at 12-15% CAGR.**

Lyft competes in this market through its bike and scooter offerings, which are integrated into the Lyft app. The company operates both owned fleets and municipal partnerships. While micro-mobility is not a core revenue driver, it provides important first-mile/last-mile connectivity that enhances the overall Lyft platform.

We view micro-mobility as a complementary service rather than a competitive threat. Short trips that would use bikes or scooters are typically not economically attractive for rideshare drivers anyway.

Business Model & Economics

Fee Structure and Take Rates

Lyft generates revenue through several mechanisms:

- Service Fees/Commissions: Lyft retains a percentage of each fare as compensation for providing the platform. The company states that drivers receive "70% or more" of the rider's payment after external fees, implying a maximum take rate of 30%.
- Booking Fees: Per-ride fees charged to riders that go directly to Lyft. These vary by market but typically range from $1-3 per ride.
- Platform Fees: Fees from Lyft Business, subscription services (Lyft Pink), and other enterprise offerings.
- Other Revenue: Bike/scooter rentals, advertising, and data licensing.

Actual Take Rates

While Lyft officially states drivers receive 70% or more of fares, actual take rates can be significantly higher when including all fees. Research from driver advocacy groups and industry analysis suggests:

Source	Lyft Take Rate	Uber Take Rate	Notes
Official Statements	20-30%	20-25%	Excluding external fees
Driver Advocacy Research	30-44%	30-44%	Including all fees and charges
Individual Ride Examples	Up to 70%	Up to 72%	Extreme cases

The discrepancy between official statements and actual take rates reflects the complexity of rideshare pricing. External fees (tolls, airport fees, regional charges) are deducted before the split, and various booking fees are added to the rider's fare but not included in the driver's calculation.

Comparison to Uber

Uber and Lyft have similar fee structures, though there are some differences:

- **Uber's service fee is typically 20-25% of the fare, while Lyft's is 20-30%.**
- **Lyft guarantees drivers receive at least 70% of the rider's payment after external fees, while Uber does not offer a similar guarantee outside California.**
- Both companies charge booking fees that vary by market.

From a driver perspective, the economics are similar between platforms, which is why over two-thirds of drivers use both apps.

Unit Economics

Lyft's unit economics have improved significantly as the company has scaled and focused on profitability.

Revenue Per Ride

In FY2025, Lyft reported:

- Gross Bookings per Ride: Approximately $19.57 ($18.5B Gross Bookings / 945.5M rides)
- Revenue per Ride: Approximately $6.68 ($6.32B revenue / 945.5M rides)
- **Implied Take Rate: Approximately 34% of Gross Bookings**

This take rate is consistent with the company's historical range and reflects the combination of service fees, booking fees, and other revenue streams.

Driver Economics

Drivers are the supply side of Lyft's marketplace, and understanding their economics is critical:

- Average Hourly Earnings: $20-35 per hour (before expenses) according to industry research
- After Expenses: Median driver profit is approximately $8.55 per hour according to a 2023 Economic Policy Institute study
- Driver Costs: Fuel, maintenance, insurance, and vehicle depreciation typically cost $4-5 per hour

Driver economics have been a persistent challenge for the industry. Low net earnings create driver churn and require continuous recruitment and incentives. However, the flexibility of gig work continues to attract drivers despite the modest pay.

Contribution Margin

Lyft's contribution margin (revenue less direct costs) has improved significantly:

- **Gross Margin: 41.4% in FY2025 ($2.62B gross profit / $6.32B revenue)**
- **Adjusted EBITDA Margin: 2.9% of Gross Bookings in FY2025, up from 2.4% in FY2024**

The improvement reflects operating leverage, reduced incentives, and improved pricing algorithms. The company has significant room for further margin expansion as it scales.

Key Performance Indicators

Lyft reports several key metrics that provide insight into the health of its business:

KPI	Definition	Q4 2025 Value	Trend
Active Riders	Unique riders who completed at least one ride in quarter	29.2M	+18% YoY
Annual Riders	Unique riders who completed at least one ride in year	51.3M	Record high
Revenue per Active Rider	Total revenue divided by active riders	$216/qrt	Stable
Total Rides	Number of completed rides	945.5M (FY)	+14% YoY
Gross Bookings	Total transaction value including taxes/fees	$18.5B (FY)	+15% YoY
Driver Cancellation Rate	% of rides cancelled by driver after acceptance	5.6%	Improving (from 14.4%)

The growth in active riders and rides demonstrates Lyft's ability to attract and retain users. The 18% YoY growth in Active Riders in Q4 2025 is particularly impressive and suggests the company is gaining market share.

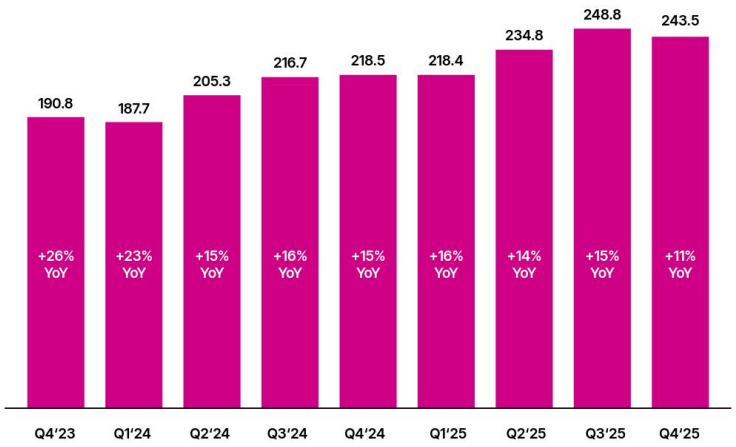
Record Quarterly Active Riders

(in millions, except for percentages)



Quarterly Rides

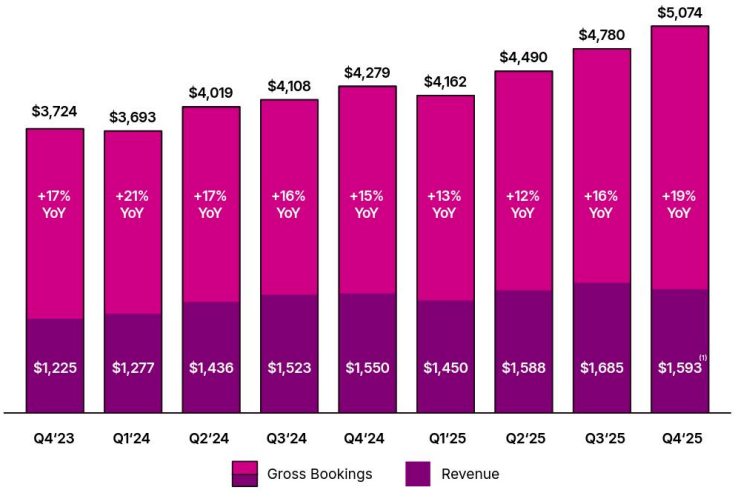
(in millions, except for percentages)



lyft Note: In th business.

Record Quarterly Gross Bookings

(in millions, except for percentages)



terly Adj. EBITDA & Margin Bookings)

tages)



lyft Note: In the fourth quarter of 2025, Lyft simplified the definition of Gross Bookings to better align the metric with future scaling of our business. There was no impact to prior periods.
(1) Includes a $168 million impact from certain legal, tax, and regulatory reserve changes and settlements. Without the impact of this, revenue would have been $1.8 billion.

measures. Please see the explanation of non-GAAP measures as well as the reconciliation from GAAP to to this presentation.

Management Team

Lyft's management team has undergone significant changes since 2023, with new leadership bringing experience from some of the world's most successful technology companies.

David Risher - Chief Executive Officer

David Risher was appointed CEO of Lyft in April 2023, succeeding co-founder Logan Green. Risher brought over three decades of technology and leadership experience from Microsoft, Amazon, and his own nonprofit venture.

Career Background

Risher began his career at Microsoft after earning his MBA from Harvard Business School in 1991. He served as a General Manager at Microsoft from 1991 to 1997, gaining valuable experience in technology product development and management.

In 1997, Risher joined Amazon as Senior Vice President of U.S. Retail, reporting directly to Jeff Bezos. During his five-year tenure, he helped build Amazon's retail operations from startup scale to over $4 billion in sales. This experience provided him with deep expertise in scaling technology businesses and operational excellence.

After leaving Amazon in 2002, Risher co-founded Worldreader, a nonprofit organization focused on promoting literacy by providing e-books to children in developing countries. He served as CEO of Worldreader from 2009 to 2023, demonstrating his commitment to social impact and mission-driven leadership.

Leadership at Lyft

Since taking the helm at Lyft, Risher has implemented a focused strategy centered on three priorities:

- Profitability: Achieved first full year of net profitability in FY2024 and significantly expanded margins in FY2025.
- Operational Efficiency: Reduced headcount, streamlined operations, and improved unit economics across the business.
- Customer Focus: Regularly drives for Lyft to understand rider and driver experiences firsthand, implementing features like price lock based on customer feedback.

Risher's "Falcon Mode" management approach emphasizes diving deep into operational details to identify and solve customer pain points. This has resulted in measurable improvements:

- Driver cancellation rates reduced from 14.4% (Q2 2023) to 5.6% (Q4 2024)
- Average ETAs reduced by approximately one minute

- Saved riders over $400 million in Prime Time (surge pricing) in 2024 vs. 2023 levels
- 16-20 percentage point advantage in driver preference vs. Uber

Erin Brewer - Chief Financial Officer

Erin Brewer joined Lyft as Chief Financial Officer in July 2023, bringing extensive experience in financial management across technology and healthcare sectors.

Career Background

Brewer earned her MBA from the Haas School of Business at UC Berkeley and holds a B.S. in Accounting from Purdue University. Her career spans over two decades of financial leadership roles:

- McKesson (13 years): Served in various leadership roles including EVP and Chief Accounting Officer, Head of Investor Relations, and senior finance positions.
- Atlassian (2018-2020): Head of Strategy and Finance, growing the finance team through post-IPO rapid revenue growth.
- Charles Schwab (2020-2022): Managing Director Enterprise Finance, leading teams through historic client and asset growth.

Brewer's appointment was praised by CEO David Risher, who noted her track record of "leading high-growth businesses, operating efficiently at scale, and putting customers at the center of her work."

Financial Leadership

Under Brewer's leadership, Lyft has achieved significant financial milestones:

- Record free cash flow generation exceeding $1.1 billion in FY2025
- Successful implementation of share repurchase programs ($500M in 2025, $1B authorized for 2026)
- Strategic acquisition of FREENOW for European expansion
- On track to achieve long-term financial targets set at 2024 Investor Day

Financial Analysis

Revenue Analysis

Lyft has demonstrated consistent revenue growth over the past four years, with the company reporting record revenue of $6.32 billion in FY2025, representing a 9.2% increase from FY2024.

Revenue Growth Trajectory

Period	Revenue	YoY Growth	Key Drivers

FY2021	$3.21B	-	Post-pandemic recovery
FY2022	$4.10B	+27.6%	Return to normalcy
FY2023	$4.40B	+7.5%	Steady growth
FY2024	$5.79B	+31.4%	Strong recovery
FY2025	$6.32B	+9.2%	Sustained growth

The 4-year CAGR of 18.5% demonstrates Lyft's ability to grow consistently while improving profitability.

Gross Bookings vs. Revenue

It's important to distinguish between Gross Bookings and Revenue:

- Gross Bookings: Total dollar value of transactions including taxes, tolls, and fees ($18.5B in FY2025)
- Revenue: The portion of Gross Bookings retained by Lyft as fees and commissions ($6.32B in FY2025)
- Implied Take Rate: Approximately 34% of Gross Bookings

Gross Bookings grew 15% YoY in FY2025, faster than revenue growth of 9.2%, indicating the company is capturing a slightly smaller share of a growing pie. This reflects the company's strategy to prioritize volume growth and market share over maximizing take rate.

Profitability Trends

Lyft's profitability transformation has been remarkable. After years of significant losses, the company achieved its first full year of net profitability in FY2024.

Path to Profitability

Metric	FY2022	FY2023	FY2024	FY2025
Gross Profit	$1.66B	$1.86B	$2.45B	$2.62B
Gross Margin	40.5%	42.2%	42.3%	41.4%
Adjusted EBITDA	-$1.26B	-$189M	$203M	$103M
Net Income (GAAP)	-$1.58B	-$340M	$23M	$2.84B

Note: FY2025 net income includes a $2.9 billion benefit from the release of the valuation allowance on deferred tax assets. Excluding this one-time item, adjusted net income was approximately $285 million.

Stock-Based Compensation Impact

A significant factor in the difference between GAAP and non-GAAP profitability is stock-based compensation (SBC):

- **FY2025 SBC: $322 million (5.1% of revenue)**
- **FY2024 SBC: $331 million (5.7% of revenue)**
- **FY2023 SBC: $485 million (11.0% of revenue)**

SBC is a non-cash expense that dilutes shareholders but does not impact cash flow. The company has reduced SBC as a percentage of revenue significantly, reflecting more disciplined equity compensation practices.

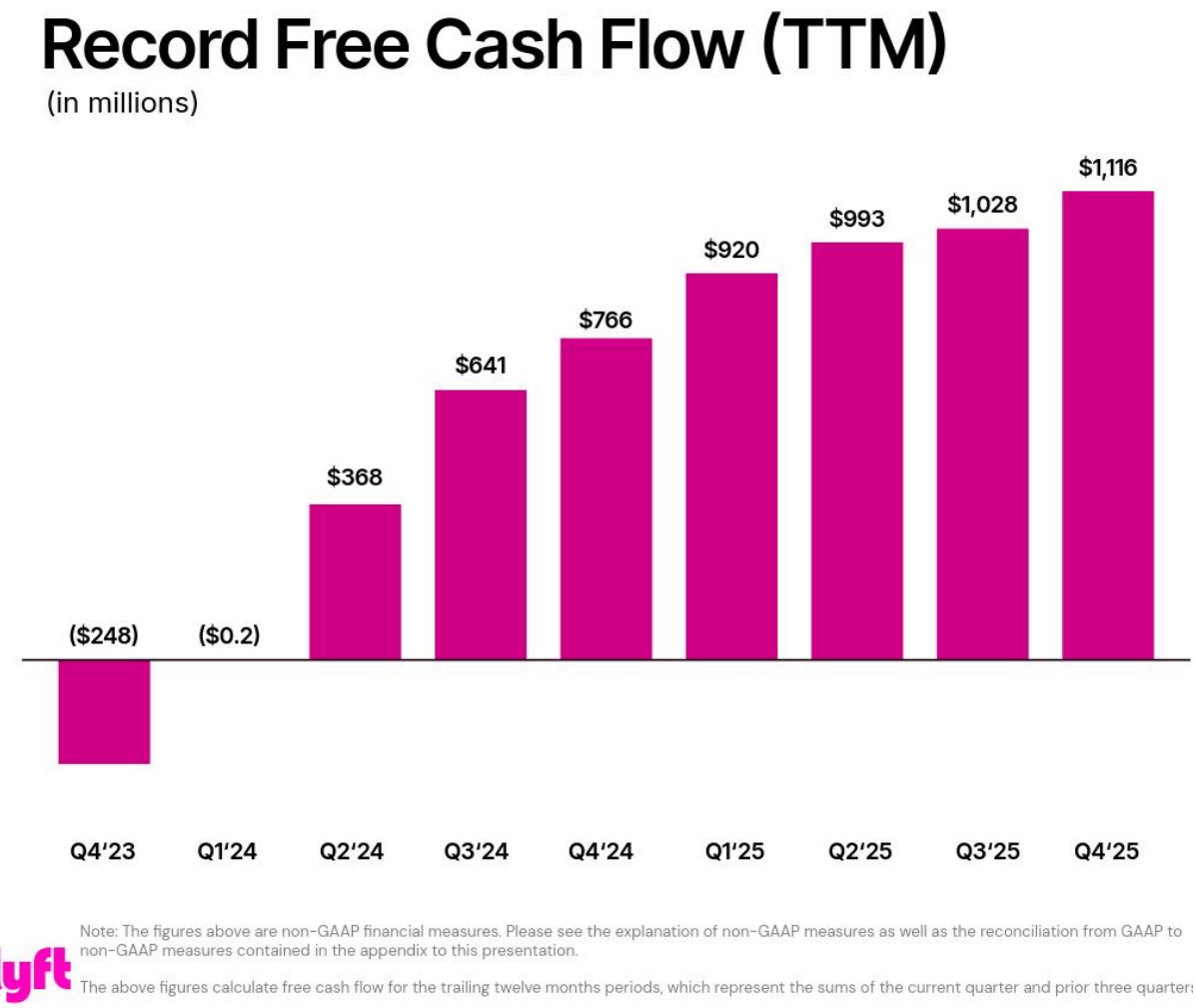
Cash Flow Analysis

Lyft's cash flow generation has improved dramatically, with the company generating over $1.1 billion in free cash flow in FY2025.

Cash Flow Metrics

Metric	FY2022	FY2023	FY2024	FY2025
Operating Cash Flow	-$237M	-$98M	$850M	$1,168M
Free Cash Flow	-$352M	-$248M	$766M	$1,116M
FCF Margin	**-8.6%**	**-5.6%**	**13.2%**	**17.7%**
Cash & Equivalents	$281M	$559M	$759M	$1,837M

The transition from negative to strongly positive free cash flow demonstrates the scalability of Lyft's business model. The company now generates substantial cash that can be used for reinvestment, debt reduction, and shareholder returns.



Capital Allocation

Lyft has begun returning capital to shareholders:

- **2025 Share Repurchase: $500 million program completed**
- **2026 Share Repurchase: $1 billion program authorized**
- FREENOW Acquisition: Strategic expansion into European markets

The share repurchase programs signal management's confidence in the business and belief that the stock is undervalued at current levels.

Valuation

We value Lyft using a combination of discounted cash flow analysis and comparable company multiples. Our analysis suggests significant upside from current levels.

Current Valuation Metrics

As of March 22, 2026, Lyft trades at the following multiples (based on Seeking Alpha data):

Metric	Lyft	Sector Median	% Diff to Sector
EV/Sales (TTM)	**0.77x**	**2.19x**	**-65%**
EV/Sales (FWD)	**0.66x**	**2.10x**	**-68%**
P/E Non-GAAP (TTM)	12.55x	20.58x	-39%
P/E Non-GAAP (FWD)	**9.03x**	**18.49x**	**-51%**
P/E GAAP (FWD)	21.26x	20.27x	+5%
EV/EBITDA (FWD)	**7.11x**	**11.48x**	**-38%**
P/S (FWD)	**0.74x**	**1.73x**	**-57%**

Source: Seeking Alpha (2026, Mar 21), own interpretation

Understanding GAAP vs. Non-GAAP P/E

The significant difference between Lyft's GAAP P/E (21.3x) and non-GAAP P/E (9.0x) requires explanation:

- GAAP net income includes stock-based compensation ($322M in FY2025), which is a non-cash expense that does not impact the company's cash flow or operations.
- GAAP net income in FY2025 also includes a $2.9 billion benefit from the release of the valuation allowance on deferred tax assets, a one-time item that artificially inflates GAAP earnings.
- Non-GAAP earnings exclude SBC and other one-time items, providing a clearer picture of the company's underlying earnings power.

For valuation purposes, we focus on non-GAAP metrics as they better reflect the company's true earnings potential. The high GAAP P/E is a result of accounting treatment rather than expensive valuation.

DCF Model

The Discounted Cash Flow (DCF) analysis incorporates a 10-year explicit forecast period reflecting three distinct trajectories based on the current market environment. The base case scenario yields an implied share price of $20.95, representing a 55.6% upside from the current price of $13.47, grounded in a 9.80% weighted average cost of capital (WACC) and a 2.50% terminal growth rate. This scenario assumes a normal operational trajectory that integrates new Level 4 autonomous vehicle fleet management partnerships with providers like NVIDIA GTC and May Mobility, allowing margins to expand to 8.8% as fixed costs scale.

The aggressive bull case suggests an implied share price of $24.71, or an 83.5% upside, by assuming the FREENOW acquisition successfully scales Lyft's presence into European markets. This scenario anticipates that AV network effects will drastically lower the cost of

revenue, pushing terminal growth to 3.0% and reducing the WACC to 9.50% as the business matures and stabilizes. Under these conditions, annual revenue is projected to climb from $7.26 billion in FY2026 to nearly $14.9 billion by FY2035.

Conversely, the bear case accounts for potential downside risks, including a weak Q1 2026 EBITDA performance and intense price wars with Uber that could suppress EBIT margins to a ceiling of 8.5%. In this defensive outlook, the implied share price drops to $11.57, reflecting a 14.1% downside from current levels. This model utilizes a higher discount rate of 10.50% and a lower terminal growth rate of 2.0% to factor in the possibility of a more challenging competitive landscape and slower long-term expansion.

Metric	Bear (Downside)	Base (Consensus)	Bull (Upside)
Implied Share Price	$11.57	$20.95	$24.71
Current Price	$13.47	$13.47	$13.47
Upside / (Downside)	-14.13%	55.56%	83.47%
GLOBAL ASSUMPTIONS			
Discount Rate (WACC)	10.50%	9.80%	9.50%
Terminal Growth Rate	2.00%	2.50%	3.00%
Tax Rate	21.00%	21.00%	21.00%
Shares Outstanding (M)	398.1	398.1	398.1
Net Debt ($M)	$1,406.6	$1,406.6	$1,406.6
10-YEAR REVENUE FORECAST			
Year	**Bear Revenue**	**Base Revenue**	**Bull Revenue**
FY2026E	$6,947.9	$7,263.7	$7,263.7
FY2027E	$7,503.8	$8,280.7	$8,280.7
FY2028E	$7,954.0	$9,274.3	$9,274.3
FY2029E	$8,351.7	$10,201.8	$10,201.8
FY2030E	$8,685.8	$11,017.9	$11,119.9
FY2031E	$8,946.3	$11,789.2	$12,009.5
FY2032E	$9,125.3	$12,496.5	$12,850.2
FY2033E	$9,307.8	$13,121.4	$13,621.2
FY2034E	$9,493.9	$13,646.2	$14,302.3
FY2035E	$9,683.8	$14,055.6	$14,874.4

Own DCF valuation model based on publicly available information

Comparable Analysis

Lyft trades at a significant discount to its closest comparable, Uber, as well as to other marketplace and technology peers:

Company	EV/Sales (FWD)	EV/EBITDA (FWD)	P/E Non-GAAP (FWD)	P/S (FWD)
Lyft	**0.66x**	**7.11x**	**9.03x**	**0.74x**

Uber	2.95x	13.87x	22.36x	2.62x
DoorDash	3.70x	18.19x	28.22x	3.82x
Airbnb	4.99x	14.19x	25.57x	5.62x
Booking Holdings	5.15x	12.34x	16.14x	4.63x

Applying peer median multiples to Lyft's financials suggests a valuation range of $18-26 per share.

Seeking Alpha, own interpretation; TODO: https://seekingalpha.com/

Valuation Summary

Our $21.00 price target is implying 60% upside from the current price of $13.5.

Key upside catalysts that could drive the stock toward our price target include:

- **Continued margin expansion as the company scales**
- **Successful AV partnerships driving new revenue streams**
- **European expansion through FREENOW contributing to growth**
- **Multiple expansion as investors recognize the company's profitability transformation**

Conclusion

Lyft represents a compelling investment opportunity in the North American mobility sector, trading at a significant discount to its intrinsic value and peer multiples. Following a transformative leadership change in 2023, the company achieved its first full year of GAAP profitability in FY2024 and generated over $1.1 billion in free cash flow in FY2025. The investment thesis is supported by a $21.00 price target, implying roughly 60% upside from the current price of $13.47.

The company maintains a defensible position as the clear #2 player in North America with approximately 30% market share and 29.2 million active riders. While its primary competitor, Uber, is significantly larger, Lyft trades at a steep valuation discount, with a forward EV/Sales of 0.66x compared to Uber’s 2.95x. Management is focused on operational excellence, reducing driver cancellation rates from 14.4% to 5.6% and implementing aggressive share repurchase programs, including a $1 billion authorization for 2026.

Lyft's strategic approach to autonomous vehicles (AVs) involves partnerships with Waymo, May Mobility, Mobileye, and Baidu rather than high-cost in-house development. This allows the company to benefit from the AV transition without the capital intensity faced by competitors. While the moat is considered narrow due to low switching costs, the duopoly

structure of the North American market provides a stable environment for Lyft to achieve its 2027 target of $1 billion in Adjusted EBITDA.

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